



Tepid Demand In the first two months of FY25, overall passenger car sales, excluding SUVs, declined 17.4% YoY

36 | have few takers, while consumers flock to dealerships to drive away in (costlier) SUVs. In April-May, sales of SUVs jumped 19.4% year-on-year, extending its lead over all other passenger car segments as domestic sales grew to 362,212 units.

In comparison, during the first two months of FY25, overall passenger car sales, excluding SUVs, declined 17.4% YoY, while sales of mini cars were down 18.1% and compact cars 15%. In April-May 2024, domestic sales of Maruti Suzuki's mini cars, the Alto and S-Presso, declined 18.7%, and sales of compact hatchbacks, including some popular models such as the Swift, Baleno, Dzire, and WagonR, fell 15%. Maruti's overall passenger car sales, excluding SUVs, declined 15.2%. But its SUV sales jumped 33.5%.

R.C. Bhargava, Chairman of India's largest carmaker Maruti Suzuki, says the company had to mark up prices of entry-level cars. "In the past few years, vehicle prices at the entry-level segment went up much faster than buyers' income levels [of that segment]... Further, the overall inflation scenario resulted in less money for mass-market consumers," he says. Bhargava says the entry-level car segment can have healthy growth when two-wheeler users can upgrade, but that is still some time away.

The two-wheeler market has been giving manufac-

turers and dealers sleepless nights as demand for entry-level models has been badly affected in rural India. Manish Raj Singhania, President of the Federation of Automobile Dealers Associations, says the premium end has been doing well. "Anything premium—be it two-wheelers or passenger cars—was doing very well [for the past few years]. That was not a cause of worry. We were worried over the demand in entry-level segments," says Singhania. After falling for several quarters, sales of two-wheelers, especially in the entry-level segment (up to 125cc), have grown since the festive season in October.

Singhania says people suffered during the pandemic, with many losing jobs and savings. Thus, despite being a necessity in the hinterlands, sales of small cars have been hit. Poor sales in the rural market also affected overall industry growth. While demand for entry-level cars has fallen, SUVs, considered

premium, have taken the lead and captured nearly 64% of the passenger vehicle market in India. "Also, there has been a significant rise in prices of entry-level cars. But we expect the demand to come back, albeit slowly," he says.

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PER CENT
JUMP IN FINANCIAL
LIABILITIES OF
HOUSEHOLDS TO ₹15.57
LAKH CRORE IN FY23

MACROECONOMIC CHALLENGES

The gap between household types is widening. Gautam Duggad, Head of research for institutional equities at Mo-